

ings going down; because, when interest rates rise, bond prices fall and since debt mutual funds (MFs) need to mark their net asset values (NAV) to the market daily, with the drop in bond prices, NAVs also suffer. “Debt funds have seen investors pulling out almost ₹2 lakh crore this calendar year and the returns were mostly positive—3-4 per cent annualised,” says Sandeep Bagla, CEO of TRUST Mutual Fund.

So, is it a good time to invest in debt funds? “We are recommending investments into funds that have roll-down or portfolio maturity of two years or lesser. It is quite possible that inflation could remain stubborn and yields may remain higher for a long time. At this point, we would advise only a 5-10 per cent to longer-term funds, about 25 per cent to liquid/money market funds, and about 65 per cent to short-term funds or BPSU (banking and PSU) debt funds with roll-down maturity of lower than two years,” says Bagla.

Similarly, if you have a medium-term horizon (four-six years), don’t mind short-term fluctuations in returns and are looking at post-tax returns, then a class of debt funds,

called Target Maturity Funds, score over FDs. “Target Maturity Funds offer yields (net YTM) in the range of 7-7.25 per cent over maturity of four to six years. They predominantly invest in government securities, PSU bonds and state development loans (SDLs), and the instruments are held till maturity of the scheme. They are a good investment option if one treats them like open ended fixed maturity plans (FMPs),” says Alok Agarwala, Chief Research Officer, Bajaj Capital Ltd.

Given that there are 16 Sebi-defined categories under debt funds, the easier way is to match your investment horizon to the average maturity of the scheme.

“Both debt MFs and FDs have some advantages as well as disadvantages over the other. Debt MFs carry interest rate risk which make them unattractive when interest rates rise. But they also have a lower risk of default, as they have a highly diversified portfolio. Plus, income tax on gains from debt MFs is materially lower compared to FDs,” says Agarwala.

The tax advantage also makes debt funds attractive. “When bond

rates are rising faster than bank FD rates, investing in bond funds should give a portfolio yield higher than FDs. If an investor holds investment in MFs for more than three years, the investor would need to pay long-term capital gains (LTCG) tax with indexation benefit. Hence, the post-tax returns for debt MFs could be much higher than that of bank FDs, as there are no tax benefits for holding three-year deposits,” says Bagla.

Currently, it is advisable to lock your funds only in short maturity schemes, as inflation may remain high for a long time. However, one should always invest based on risk profile. For complete risk-free investment, FDs are certainly better. “For example, in FDs, whereas bank deposits carry a low interest rate of 5.45-6.10 per cent, certain AAA-rated corporate deposits carry a coupon of around 7 per cent or slightly higher, which, coupled with a lack of interest rate risk, makes them an attractive proposition,” says Agarwala. But, if one wants to leverage on interest rate movement then debt funds could be the choice.

## **CORPORATE BONDS**

Now for corporate bonds. While investing in bonds directly, one needs to be mindful of the interest rate cycle and maturity of the securities, as interest rate and bond prices are inversely correlated. For example, if you hold a long-term bond with an interest rate of 10 per cent and the rate goes up to 12 per cent, the value of your bond will reduce. The change in the price of the bond is based on interest rate movement. The longer the duration of the bond, the higher the impact on the bond price. But, if you stay invested, at the end of the tenure you will get the coupon rate that was locked in at the time of buying the bonds.

Currently, with the rise in interest rates, corporate bonds are offering a much higher rate

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**“Debt funds this calendar year have seen investors pulling out almost ₹2 lakh crore and the returns were mostly positive, between 3 per cent and 4 per cent annualised”**

**SANDEEP BAGLA**  
CEO, TRUST MUTUAL FUND



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